Attachment D

Affidavit of Ms. Gwen Kelly, Senior Director in Credit Risk and Collateral Management of PJM Interconnection, L.L.C.

UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

PJM Interconnection, L.L.C.	**)**	**Docket No. ER26-____-000**

AFFIDAVIT OF GWEN KELLY
ON BEHALF OF PJM INTERCONNECTION, L.L.C.

1. My name is Gwen Kelly. I hold a Bachelor of Business Administration from the University of Hartford. My background includes more than 34 years of experience in credit and collateral management, including 29 years in credit, treasury, and finance functions at various subsidiaries in Public Service Enterprise Group, Inc.

2. Since March 2021, I have served as the Senior Director, Credit Risk and Collateral Management at PJM Interconnection, L.L.C. ("PJM"). My business address is 2750 Monroe Boulevard, Audubon, Pennsylvania, 19403.

3. In this role, I am responsible for overseeing PJM's credit risk management program, including the development and administration of collateral requirements, the evaluation of participant creditworthiness, and the management of credit exposures arising from participation in PJM-administered markets.

4. This affidavit supports PJM's filing to implement a Reliability Backstop Procurement ("RBP") and the related credit provisions required to support the credit requirements of the RBP Sellers and Load Serving Entities ("LSE") that are allocated RBP Charges.

5. I participated in the development of the proposed RBP credit provisions. The statements contained in this affidavit are based upon my personal knowledge, my review of the analyses performed in developing the proposed RBP credit framework, and my experience administering PJM's credit program.

Development of Proposed RBP Credit Methodology

6. In developing the proposed RBP credit framework, PJM evaluated the financial risks associated with the proposed RBP design. Based on those evaluations, PJM developed collateral methodologies intended to mitigate the distinct financial exposures created by the RBP design for both generation resources seeking RBP commitments and LSEs that become responsible for payment of RBP Charges.

7. PJM determined that the proposed RBP creates two fundamentally distinct categories of financial exposure. RBP Sellers present payment risk associated with RBP Shortfall Charges for delayed or non-delivery of new generation resources to satisfy their RBP commitments. LSEs present payment risk associated with their

allocated responsibility for RBP Charges. As these exposures differ in both character and duration, PJM developed separate collateral requirements tailored to each type of obligation.

8. In developing the proposed RBP credit framework, PJM sought to calibrate the amount and duration of required collateral so that collateral remains commensurate with the financial exposure. The proposed RBP credit provisions are intended to provide protection against non-payment by RBP Sellers and applicable LSEs, while avoiding collateral requirements that exceed the underlying exposure being secured.

Analysis Supporting the Proposed RBP Credit Requirements for RBP Sellers

9. The proposed Open Access Transmission Tariff ("Tariff") language establishes an RBP credit requirement applicable to RBP Sellers who plan to submit a bid in the RBP.[1] An RBP credit requirement will be determined for each RBP Resource for which an RBP Sell Offer is submitted. The total RBP credit requirement for each RBP Seller is the sum of each credit requirement for each RPB Sell Offer.[2] For example, if an RBP Seller has five RBP Resources, a credit requirement would be determined for each RBP Resource. This approach ensures that adequate collateral is provided in the event not every offered RBP Resource receives an RBP commitment, i.e., discrete RBP Collateral tied to each RBP commitment.

10. PJM aligned the credit requirement to mitigate the non-payment risk of RBP Shortfall Charges associated with requiring new generation resources to undertake long-term commitments through the RBP. Unlike many existing generation resources participating in PJM's Reliability Pricing Model ("RPM"), resources seeking RBP commitments may require additional financing, permitting, equipment procurement, construction, and other development activities before achieving commercial operation.

11. PJM concluded that resources seeking RBP commitments present risks that a committed resource may fail to achieve commercial operation or experience delays in reaching commercial operation. PJM therefore concluded that RBP Shortfall Charge risk warrants a customized credit approach for those charges. Accordingly, PJM developed a methodology requiring an RBP Seller to post RBP Collateral prior to or contemporaneously with submission of an RBP Sell Offer.

12. Specifically, PJM developed an RBP Seller collateral methodology using the RBP Sell Offer price, the quantity of committed megawatts ("MW"), and the first three Delivery Years associated—mirroring the fact that RBP Shortfall Charges may only be assessed for the resource's first three Delivery Years of expected operation

[1] Proposed Tariff Section, Attachment DD, section 18.8(a).

[2] Proposed Tariff Section, Attachment DD, section18.8.

before the RBP commitment is rescinded—to determine the RBP Seller's collateral requirement.

13. PJM found that, for each RBP Sell Offer, a credit requirement to cover the RBP Shortfall Charges equivalent to the sum of 20% of the RBP Sell Offer Price * RBP Unforced Capacity ("UCAP") MW for each of the first three Delivery Years offered would adequately mitigate the risk. This requirement is expressed formulaically in the proposed Tariff as

$$\sum_{n=1}^{3} 0.2 \times \left(RBP\ Sell\ Offer\ Price\ in \frac{\$}{MWDay}\right)_n \times (UCAP\ in\ MW)_n \times 365$$

$$where\ n = Delivery\ Years$$

14. As such, the RBP credit requirement reflects and matches (i) the seller's ability to offer an RBP Resource at a different price and different UCAP commitment level for each Delivery Year for the first three years; and (ii) the requirement that an RBP Resource must reach commercial operation within three Delivery Years of its target in-service date. Further, given that the RBP Shortfall Charges are keyed to the resource's committed offer price and MW level, the RBP Seller credit requirement properly covers the risk.

15. PJM also evaluated how long RBP Seller collateral should remain posted. Consistent with PJM's objective of aligning collateral with the underlying financial exposure, PJM concluded that collateral should remain in place only while the associated performance risk continues to exist.

16. Accordingly, PJM developed an approach under which collateral associated with RBP Sell Offers that do not receive commitments is returned because the associated performance risk no longer exists. For RBP Resources with RBP commitments, PJM determined that collateral should remain posted until commercial operation has been achieved and should continue to be maintained for an additional one-year period to permit PJM to confirm sustained commercial operation before the remaining collateral may be released. A full 12-month cycle ensures that the asset can reliably operate across all four seasons.

17. PJM also evaluated ownership transfers of committed RBP Resources prior to commercial operation. PJM concluded that a transfer of a committed resource does not eliminate the underlying performance risk associated with that resource. Accordingly, PJM developed a methodology under which the transferring RBP Seller remains financially responsible until the receiving party independently demonstrates the financial capability to support the transferred commitment by posting the required collateral and affirmatively assuming responsibility for the associated obligations.

18. Here is an example of the RBP Seller credit requirement based on a 100 MW commitment, $555/MW-Day RBP Sell Offer price, 15-year commitment starts in the 2028/2029 Delivery Year:

Shortfall Charge Year 1 (2028/2029): 0.2 * $555/MW-Day * 100 MW * 365 = $4,051,500

Shortfall Charge Year 2 (2029/2030): 0.2 * $555/MW-Day * 100 MW * 365 = $4,051,500

Shortfall Charge Year 3 (2030/2031): 0.2 * $555/MW-Day * 100 MW * 365 = $4,051,500

Credit Requirement = $4,051,500 + $4,051,500 + $4,051,500 = $12,154,500

Analysis Supporting the Proposed RBP Credit Requirements for LSEs Responsible for Payment of RBP Charges

19. PJM separately evaluated the financial risks associated with LSEs that become responsible for payment of RBP Charges, allocated pursuant to the RBP cost allocation methodology. Specifically, PJM evaluated the credit tools needed to mitigate potential defaults from non-payment of RBP Charges. PJM did so because it has the obligation to appropriately mitigate risk of default. PJM found that its current credit tools do not contemplate the long-term nature of RBP and the risk of future non-payment that results.

20. Based upon that evaluation, PJM determined that only those LSEs allocated responsibility for RBP Charges should be required to provide RBP Collateral. Conversely, LSEs not allocated responsibility for RBP Charges do not present the payment exposure the proposed credit provisions are intended to address and therefore are not subject to the RBP credit requirement.

21. PJM evaluated methodologies for determining the amount of collateral required from LSEs. PJM considered that the relevant financial exposure is created by the portfolio of committed RBP resources rather than by any individual LSE in isolation.

22. Based upon that evaluation, PJM developed a methodology that first determines the aggregate collateral necessary to address the payment exposure associated with the portfolio of committed RBP Resources and then allocates that collateral requirement among the LSEs responsible for payment of RBP Charges.

23. PJM further determined that applying a uniform credit rate to each LSE's allocated RBP UCAP MW level (i.e., the portion of the overall RBP commitment costs allocated to the LSE, and the basis for an LSE's RBP Charges) provides an objective, transparent, and consistent means of allocating the aggregate collateral requirement among the LSEs responsible for the underlying payment obligations.

24. PJM evaluated the appropriate initial credit rate applicable to all committed RBP UCAP MW. In developing that rate, PJM sought to establish an initial level of

collateral that provides commensurate protection against non-payment while avoiding full collateralization of the entire 15-year contractual commitment.

25. As part of that evaluation, PJM estimated the contractual value associated with a 1-MW RBP commitment using conservative assumptions, including a 15-year commitment term application of the RBP price throughout that commitment period. Under those assumptions, the estimated contractual value of a 1-MW RBP commitment is approximately $3.04 million, assuming the RBP clearing price at the price cap of $555/MW.

26. Based upon that analysis, PJM concluded that an initial credit rate of $1.5 million per committed RBP MW would collateralize approximately 50% of the estimated contractual value associated with the commitment.

27. PJM also evaluated the present value of the expected payment stream associated with RBP commitments through application of a discounted cash flow analysis. For a 1-MW 15-year committed resource from the 2028/2029 Delivery Year to the 2042/2043 Delivery Year, RBP Sell Offer price of $555/MW-day, each year's payment is $202,575 (=$555/MW-Day * 1 MW * 365). We discounted the cashflow back to September 2026, using discount rate of 9.5%:

    2028/2029 notional payment - $202,575, Net Present Value ("NPV") in September 2026 = $172,841

    2029/2030 notional payment - $202,575, NPV in September 2026 = $157,850

    . . .

    2042/2043 notional payment - $202,575, NPV in September 2026 = $48,514

    All the NPV added together is $1,481,569.

28. The 9.5% discount rate was used, as it is the capacity market Weighted Average Cost of Capital developed by The Brattle Group ("Brattle") as part of PJM's 2025 periodic review of the Cost of New Entry of Capacity Resources into the PJM Region.[3] Given Brattle's thorough analysis in arriving at 9.5%, it represents a well-supported discount rate to "check" the validity of PJM's proposed RBP credit requirement.

29. PJM further considered how the payment exposure with the portfolio of committed RBP Resources changes over the 15-year commitment term. PJM concluded that the remaining payment exposure naturally declines as remaining, forward RBP payment obligations are satisfied and as committed RBP Resources are removed

[3] The Brattle Group, *Brattle 2025 CONE Report for PJM*, PJM Interconnection, L.L.C., 26-34 (Apr. 9, 2025), https://www.pjm.com/-/media/DotCom/committees-groups/committees/mic/2025/20250411-special/item-1-02-revised-cone-report-final.pdf [https://perma.cc/B3VN-EY34].

from the portfolio through rescinded commitments or other changes affecting the remaining payment obligations.

30. Accordingly, PJM developed a provision permitting reductions to the RBP credit rate when changes in the underlying RBP commitment portfolio demonstrate that previously required collateral exceeds the remaining expected payment exposure. PJM concluded that this approach aligns required collateral with the remaining financial exposure through the commitment term.

31. PJM also evaluated how collateral should be determined before an Electric Distributor reports any actual RBP Obligation MW cost allocations for a Delivery Year. Consistent with the "default" cost allocation approach, PJM will look to each LSE's allocated Daily Unforced Capacity Obligation (which is used to allocate RPM capacity payments), as it provides an objective and administratively practical proxy until actual RBP Obligation MW allocations have been established. Once any RBP Obligation MW are reported, PJM determined that collateral should instead be based upon those actual allocated RBP Obligation MW because they provide the most accurate measure of each LSE's corresponding payment exposure.

32. PJM also evaluated transfers of LSE obligations during the commitment term. PJM concluded that the underlying payment exposure associated with transferred RBP payment obligations remains until the receiving LSE independently satisfies the applicable collateral requirements and assumes responsibility for the transferred obligations. Accordingly, PJM proposes that the transferring LSE remains financially responsible until the receiving LSE has posted the required collateral and assumed responsibility for the transferred obligations.

33. Here is an example: RBP credit requirement for LSEs based on a 100 MW commitment = $1,500,000 * 100 MW = $150,000,000

34. This concludes my affidavit.

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PJM Interconnection, L.L.C.	)	**Docket No. ER26-____-000**

VERIFICATION

I, Gwen Kelly, pursuant to 28 U.S.C. § 1746, state, under penalty of perjury, that I am the Gwen Kelly referred to in the foregoing document entitled "Affidavit of Gwen Kelly, Senior Director Credit Risk and Collateral Management at PJM Interconnection, L.L.C.," that I have read the same and am familiar with the contents thereof, and that the facts set forth therein are true and correct to the best of my knowledge, information, and belief.

/s/ Gwen Kelly
Gwen Kelly
Sr. Manager, Underwriting
Credit Risk & Collateral Management
Risk Management
PJM Interconnection, L.L.C.

Subscribed and sworn to before me, the undersigned notary public, this 31st day of July 2026.

Michele A. Matticola
Notary Public

My Commission expires: 12/23/2027

Commonwealth of Pennsylvania - Notary Seal
MICHELE A MATTICOLA - Notary Public
Montgomery County
My Commission Expires December 23, 2027
Commission Number 1249359